

BHUTAN

Growth accelerated in 2025 as industry expanded and private investment rose. Inflation increased and fiscal and current account deficits grew. Based on this report's early stabilization scenario, growth will likely remain robust in 2026 and 2027 on construction of new hydropower plants. Inflation will edge up this year, before softening in 2027. Reduced crypto mining-related imports this year will help narrow the current account deficit. Targeted reforms are essential to retain talent in Bhutan amid structural challenges and global opportunities.

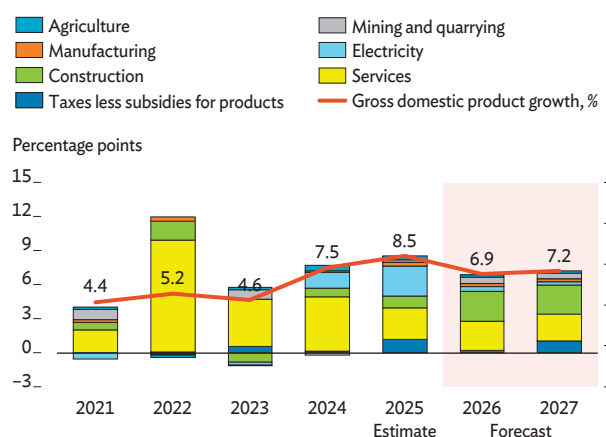
Economic Performance

Bhutan's economic expansion was robust and broad-based in 2025 (Figure 2.14.1). GDP grew 8.5% in the year, up from 7.5% in 2024, reflecting a sustained uptick in domestic demand and pronounced recovery in productive sectors. On the supply side, industrial output grew 14.0%, mainly on strong construction and hydroelectricity-related activities. Electricity expanded most, increasing by 20.5%, supported by the commissioning of projects including the 1,020 megawatt (MW) Punatsangchhu II, the 18 MW Suchhu

Hydropower Plants, and the 22 MW utility-scale Sephu Solar project, and even though heavy rainfall and severe flooding in early October temporarily shut down several power plants nationwide. Construction grew in the double digits, primarily as construction of the 600 MW Khorlochhu Hydroelectric Power Plant resumed and amid sustained progress across six ongoing hydroelectric power plants and construction at the Gelephu Airport. A substantial 30% year-on-year rise in tourist arrivals supported services output and led to pronounced gains in the hotel, restaurant, and transport subsectors. The agricultural sector, likewise, maintained a positive trajectory, although its contribution to aggregate growth remained modest, consistent with historical trends of moderate expansion.

Figure 2.14.1 Supply-Side Contributions to Growth

GDP growth in 2025 was driven by industry.



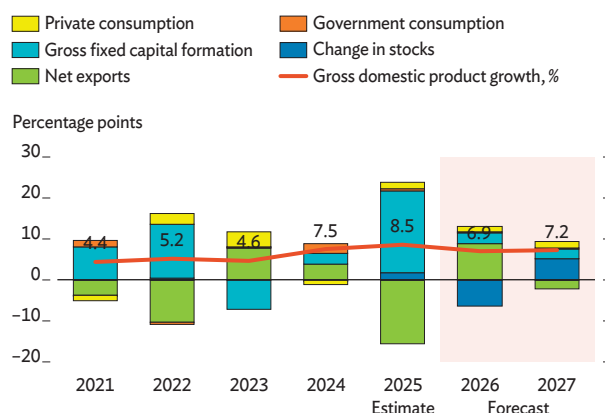
GDP = gross domestic product.

Sources: National Statistics Bureau; Asian Development Bank estimates.

Strong investment and higher consumption, supported by more credit and remittances, drove Bhutan's economic growth in 2025, though net exports remained a drag (Figure 2.14.2). Gross fixed capital formation grew 43.4% amid heightened private sector investment in crypto-mining assets. The growth also reflects notable recovery in construction, reversing a previously sluggish performance. Private sector credit growth of 46.2%, meanwhile, also contributed to non-crypto-related private sector investment. Private consumption expenditure expanded 3.5%, underpinned by credit availability and rising remittance

Figure 2.14.2 Demand-Side Contributions to Growth

GDP growth in 2025 was led by gross fixed capital formation.



GDP = gross domestic product.

Sources: National Statistics Bureau; Asian Development Bank estimates.

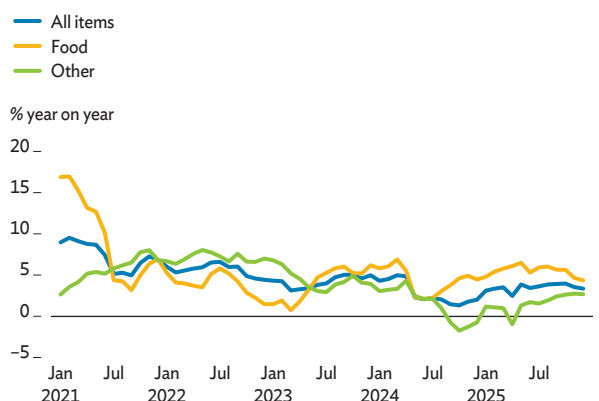
inflows. Public consumption growth stabilized at 3.1%, mirroring a nominal rise in current government expenditure, particularly after the substantial public sector salary revision implemented in fiscal year 2024 (FY2024, ended 30 June 2024). Net exports dragged significantly on growth as the trade deficit surged, mainly as imports of crypto-related equipment rose sharply.

Inflation increased to 3.5% in 2025, up from 2.8% in the previous year (Figure 2.14.3). Food prices rose 5.5% in 2025, from 4.3% in 2024, pushed by supply-side constraints but tempered by declining food prices in India, Bhutan's major import partner. Nonfood prices remained stable, reflecting ongoing deflationary trends evident in the transport sector, driven by lower fuel prices.

The fiscal deficit widened from 1.6% of GDP in FY2024 to 2.7% of GDP in FY2025, financed through increased external concessional borrowing (Figure 2.14.4). Government spending increased from 28.2% of GDP in FY2024 to 30.0% in FY2025, driven by a 2.8-percentage-point increase in capital allocation. The increase in capital expenditure was partly offset by a decline in current spending, which fell from 16.4% of GDP in FY2024 to 15.4% in FY2025, mainly due to wage and salary stabilization after a marked pay increase for public servants in FY2024. Revenue and grants also increased almost 1 percentage point of GDP in FY2025, primarily in tandem with increased grants and transfers from the Government of India and Bhutan's

Figure 2.14.3 Inflation

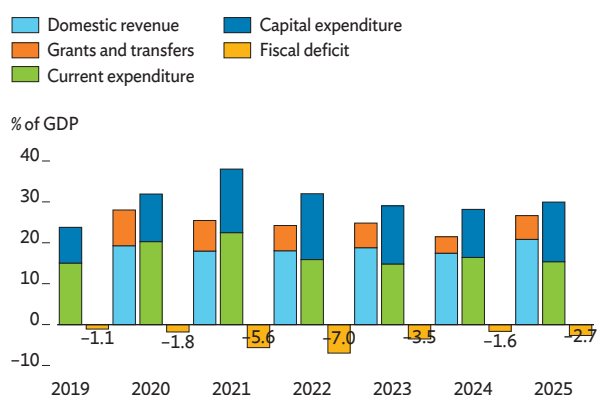
Inflation edged up in 2025 amid faster food price increases.



Source: National Statistics Bureau.

Figure 2.14.4 Fiscal Indicators

The fiscal balance worsened in FY2025.



FY = fiscal year, GDP = gross domestic product.

Note: Years are fiscal years ending on 30 June of that year.

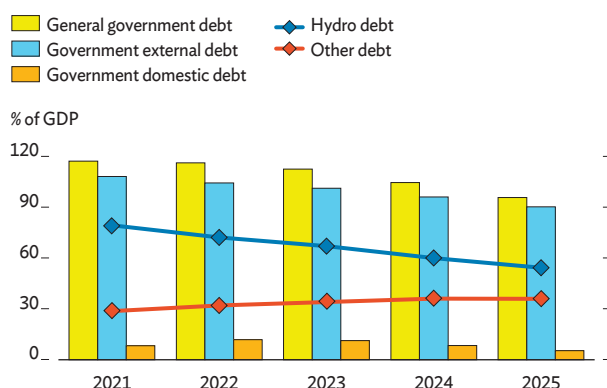
Source: Ministry of Finance.

development partners. With GDP growth outpacing debt growth, total public debt declined to 95.7% of GDP in 2025 from 104.6% the previous year, as the external debt-to-GDP ratio dropped by 5.8 percentage points year on year and the domestic debt-to-GDP ratio fell by 3 percentage points (Figure 2.14.5).

Monetary policy remained accommodative throughout 2025 (Figure 2.14.6). The Royal Monetary Authority maintained the cash reserve ratio at 8% and lowered the minimum lending rate from 6.8% in 2024 to 6.1% in 2025, reducing borrowing costs. Domestic credit expanded an estimated 41.1% in 2025, including a 46.2% increase to the private sector, while credit to the government contracted

Figure 2.14.5 Government Debt

The public debt-to-GDP ratio declined in 2025.

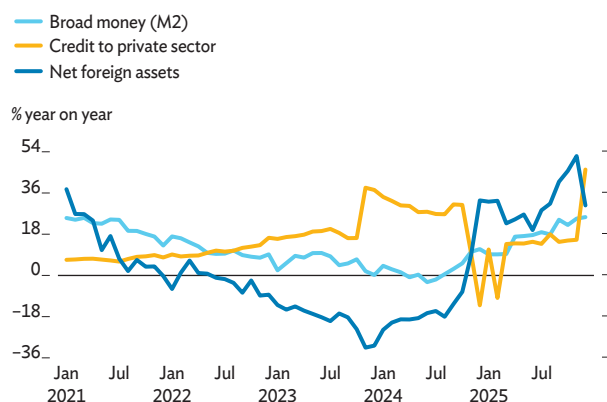


GDP = gross domestic product.

Source: Ministry of Finance.

Figure 2.14.6 Monetary Indicators

Monetary policy was accommodative in 2025.



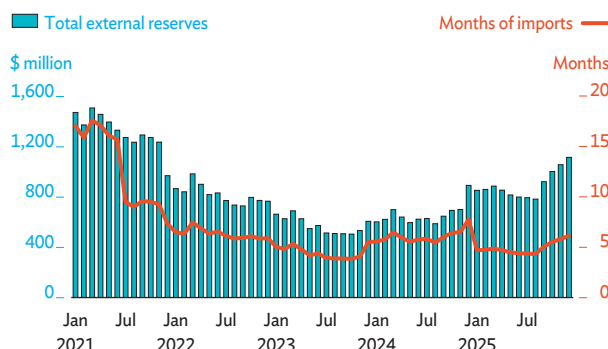
Source: Royal Monetary Authority.

6.8%. Net foreign assets of the banking system rose by 30.5%, supported by growth in remittances, official grants, and revenue from hydroelectricity exports to India. Reflecting these developments, money supply increased by 25.4%.

The current account deficit increased to an estimated 28.0% of GDP in 2025 from 14.3% in 2024. The trade deficit widened sharply to 38.1% in 2025 from 19.4% of GDP in 2024, as import growth substantially outpaced export growth. The deterioration was driven mainly by nearly \$500 million in capital goods imports of crypto mining equipment by Bitdeer Technologies Group, a wholly foreign-owned direct investment enterprise operating two crypto mining facilities in Bhutan with a combined

Figure 2.14.7 External Reserves

External reserves grew but import cover worsened in 2025 amid a surge in imports.



Source: Royal Monetary Authority.

installed capacity of about 600 MWs. Importantly, these purchases were financed directly by the investor from abroad, and therefore did not draw on Bhutan's foreign exchange reserves, even though they materially enlarged the recorded trade deficit. While primary income registered a deficit of 3.3% of GDP, secondary income remained robust, growing at 8.9%, resulting in a net inflow of 5.6% of GDP. Gross international reserves increased to \$1,116.3 million in 2025 from \$892.7 million in 2024, covering 6.1 months (Figure 2.14.7). The improvement in reserves was driven by stronger tourism and hydropower earnings, higher remittances, and the partial redemption of a special dollar bond issued by Druk Holding Investment to the Royal Monetary Authority in 2022.

Economic Prospects

GDP is forecast to expand 6.9% in 2026 and 7.2% in 2027 (Table 2.14.1). This outlook is based on an early stabilization scenario and subject to significant uncertainty owing to the ongoing conflict in the Middle East. It is anchored on continued capital investment, particularly in the industrial sector, financed in part by private equity participation. Industrial output is projected to increase by 12.1% in 2026 and 10.6% in 2027, reflecting sustained double-digit growth in construction, which is expected to remain the primary driver of economic activity over the forecast years. The development and ongoing construction of large-scale hydropower projects—including Wangchhu, Dorjilung, and Khorlochhu,

Table 2.14.1 Selected Economic Indicators, %

After easing in 2026, growth is expected to rise marginally in 2027, while inflation is forecast to edge up in 2026 then soften in 2027.

	2024	2025	2026	2027
GDP growth	7.5	8.5	6.9	7.2
Inflation	2.8	3.5	3.9	3.2

GDP = gross domestic product.

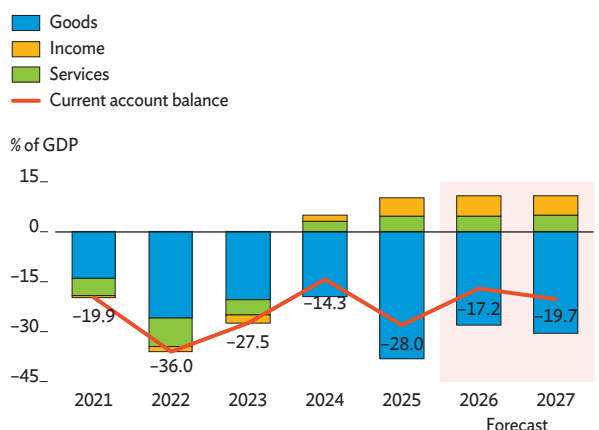
Sources: Ministry of Finance; National Statistics Bureau; Asian Development Bank estimates.

with a combined generation capacity of 2,295 MW—will be central to supporting construction growth. Mining and quarrying output is forecast to rise in tandem with the expansion of the construction sector. Electricity growth will remain muted, as no major hydropower plants are scheduled for commissioning during this period. Services growth will moderate to 4.8% in 2026 and 4.5% in 2027, as tourist arrivals taper toward the historical average and flight and hotel capacity temper growth of transport and hospitality activities. Agricultural growth will remain moderate, benefiting from improved input availability, although productivity gains will continue to be shaped by weather-related factors and limited sectoral diversification.

Domestic demand will be buoyant in 2026, driven by strong private and public investment. Sustained increases in government capital spending and the continued ramp-up of hydropower construction are expected to underpin the growth momentum. Budget documents project fixed investment to increase by 4.2% in 2026 and 3.8% in 2027. Private consumption is expected to grow moderately by 3.2%, as expansion in private sector credit and remittance inflows ease over the forecast period. Public consumption is projected to remain broadly stable at about 2.0% in both years, reflecting steady current expenditure. The external position is expected to improve, with net exports projected to strengthen by 34.2%, supported by a marked decline in imports, as no further crypto-related capital goods are expected to be imported, although export growth will be muted because no major changes in non-hydropower exports are expected and no new hydropower projects are commissioned. As a result, the current account deficit is projected to narrow to 17.2% of GDP in 2026, before edging up to 19.6% in 2027 (Figure 2.14.8).

Figure 2.14.8 Components of the Current Account

The current account deficit will narrow in the forecast years.



GDP = gross domestic product.

Sources: National Statistics Bureau; Asian Development Bank estimates.

The fiscal deficit is forecast to widen to 3.5% of GDP in FY2026 and 4.0% in FY2027. The higher deficits will result from both an escalation in capital outlays, as the implementation of the government's 13th Five-Year Plan covering FY2024–2029 advances, and a decline in revenue on the rollout of comprehensive tax reforms starting in January 2026. The reforms include the merger of business income tax and personal income tax, a reduction in the corporate income tax rate to a flat 22% from prior differentiated rates of 30% for state-owned enterprises and 25% for other corporations, and the exemption of intercorporate dividends. Additionally, the government expects the 5% goods and services tax (GST) introduced in January 2026 to be broadly revenue-neutral in the short run, as initial transitional frictions and offsetting effects from the wider tax changes temper immediate revenue gains.

Headline inflation is forecast to edge up to 3.9% in 2026, before easing to 3.2% in 2027 assuming early stabilization scenario. The marginal price increase in 2026 is mainly driven by one-off transition effects from GST implementation, notably double taxation as pre-GST inventories face GST again upon sale. Given Bhutan's significant reliance on imports, domestic inflation will remain closely aligned with global price trends for petroleum, food, and other key commodities. Notably, since Indian imports make up around half of Bhutan's consumer price index, inflation in India will play a crucial role in price pressures in Bhutan.

As global supply chains stabilize and inflation in India moderates, inflation in Bhutan is expected to ease in 2027.

Bhutan's economic outlook faces several significant downside risks. A prolonged conflict in the Middle East would increase fuel and import costs and weaken tourism receipts, adding to imported inflation, with spillovers to transport, construction, and other domestic prices. Increased import costs and lower-than-expected tourist arrivals amid deferred travel would expand the fiscal deficit and reduce foreign exchange earnings, widening the current account deficit. Other external risks include global trade conflicts, and depreciation of the Indian rupee against the US dollar. Bhutan pegs its currency, the ngultrum, to the Indian currency at par. Delays in construction or in investor funding could undermine growth. Rising domestic energy demand, especially from cryptocurrency operations, could cut into hydropower exports to India, further pressuring fiscal and external balances. Tight fiscal conditions and large-scale skilled worker emigration also pose threats to both economic expansion and the quality of public service delivery. Extreme weather events, such as unpredictable monsoons or floods, threaten the agriculture and hydropower sectors. On the upside, including income from the sale of crypto assets in national accounts—which are believed to account for about a third of Bhutan's GDP—could inflate reported growth in the forecast years.

Policy Challenge—Retaining Skilled Talent Amid Growing Migration

Bhutan faces a serious migration problem as educated youth and skilled professionals leave for better opportunities and advanced education abroad, often settling there. Nearly 9% of Bhutanese now live overseas, up from just 1% in 1990. Australia hosts about 57% of the migrants. Civil servants represent the predominant migrant group, of which a quarter are teachers and educators. The World Bank reports that 53% of migrants hold university degrees and youth with at least higher secondary education are considerably more likely to migrate. Strong pull factors, such as significant wage differences, better education

quality, and improved living conditions, far outweigh the government's efforts to retain talent. Limited quality jobs, modest domestic earning prospects, limited opportunities for career progression, heavy workload, bureaucratic processes, and red tape remain the main push factors.

Bhutan's out-migration impacts economic resilience, innovation, and sustainable development. Even though 77% of the population is of working age, the steady loss of skilled individuals weakens fiscal stability, private-sector growth, and social cohesion. The departure of professionals from the education and health sectors threatens the government's mandate for free services and increases reliance on external hires, restricting innovation and entrepreneurial activity. Additionally, this outflow disrupts families and erodes the country's tradition of social connectedness.

The Bhutanese government has implemented several measures to address migration challenges.

A notable 2024 review of public servants' salaries increased pay by 54% to 75%, with the largest increases for teachers and health professionals. Entry procedures for clinical professionals have been streamlined to reduce shortages. Technical and vocational education and training modernization and better skill pathways target employability, while the national reintegration program offers entrepreneurship training and re-entry support for skilled returnees. The Gyalsung National Service program develops skills and promotes national cohesion and the Gelephu Mindfulness City is being developed as an economic hub to generate high-quality jobs for skilled Bhutanese.

Despite ongoing initiatives, out-migration rates remain elevated, underscoring the need for more targeted interventions for job support to the youth, including entrepreneurship. Continued government action is essential to resolve longstanding structural challenges. These include diversifying the economy, improving access to credit through financial sector reforms, enhancing interagency coordination, and improving working conditions by effectively enforcing labor laws, providing safer workplaces, improving job quality, and ensuring skill alignment. Targeted interventions are needed to counter the emigration of educated youth. Bhutan must prioritize private-sector reforms by ensuring predictable regulations,

streamlined entry procedures, equitable competition, and better access to finance. Key actions include improving regulatory quality, establishing a single-window clearance system, addressing the crowding-out effect of state-owned enterprises, and improving lending to small- and medium-sized enterprises. The youth entrepreneurship development program must shift from “start-up promotion” to a youth-oriented, comprehensive “business development and decent jobs” strategy. This approach includes (i) strengthening school-to-work pathways through enhanced entrepreneurship education, mentoring, and targeted support for youth and women; (ii) addressing the “missing middle” by expanding acceleration services and growth-stage finance to enable viable youth businesses to scale and hire; and (iii) improving enabling conditions and coordination to ensure coherent and practical support to businesses.